DIGITALAIKARTORIGINAL

THE INDIAN RESIGNATION & EXIT PLAYBOOK

2026-27EDITION

Resign cleanly. Collect every rupee and every document you are owed, on time, without a fight.

- Notice period, buyout and early release, with the letters that work
- Full and final settlement, line by line, with a worked example
- Gratuity: the 240-day rule, the 15/26 formula, the 10% interest
- EPF and EPS on exit: transfer or withdraw, and the TDS trap
- Bonds, non-competes and background verification, explained plainly
- Six ready-to-send templates, from resignation to recovery

20 chapters · 37 pages · 6 letter templates
Verified against the Labour Codes, EPFO, CBDT and the courts

Leaving a job, done properly

A practical guide for salaried employees in India, updated for the Labour Codes that came into force on 21 November 2025.

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Chapters 1 to 10 follow an exit in the order it happens. Chapters 11 to 17 cover the disputes that follow people for years. Chapters 18 to 20 are the action plan, the letters, and the sources.

What this playbook is

Leaving a job in India is not one event. It is about six: the letter, the notice period, the handover, the money, the documents, and the story your next employer hears about all of it. Most people handle the first one carefully and improvise the rest. That is how people lose gratuity they had earned, accept a settlement that is Rs 40,000 short, or discover in month three at a new job that their relieving letter never arrived.

This playbook walks you through all six, in the order they happen, with the law that applies to each. It is built for the salaried employee in India in 2026-27, which matters more than usual: the four Labour Codes took effect on 21 November 2025 and changed the timeline on which your employer must pay you after you resign. Most HR systems have not caught up. You now have a statutory argument that did not exist two years ago.

How to use it

- If you are resigning this week, read Chapter 2 (the pre-exit audit) and Chapter 3 (the letter) tonight. Come back to the rest as each stage arrives.
- If your last working day has passed and the money has not come, go straight to Chapter 6 and Chapter 15.
- If you are being pushed out rather than leaving, start at Chapter 16.
- The templates in Chapter 19 are written to be copied, edited and sent. They are deliberately short and polite: a letter that a labour inspector reads should sound like a professional asking for what a statute already gives them.

Read this before you rely on anything here

This is a practical guide, not legal advice, and it cannot replace a lawyer for a dispute that has already turned adversarial. Labour law in India is partly central and partly state law, and state Shops and Establishments rules still govern a lot of private-sector employment. Where a state rule differs from what is written here, the state rule wins. Verify your own appointment letter before you act: your contract can give you more than the law, never less.

A note on dates and sources

Every rule, deadline, rate and rupee figure in this playbook was checked in October 2026 against primary sources: the Gazette notifications bringing the Labour Codes into force, the Code on Wages, the Industrial Relations Code, the Code on Social Security, the Payment of Gratuity Act, the Labour Ministry's own FAQs and compliance handbook, EPFO's scheme instructions and FAQ, and CBDT notifications. The case law is from Supreme Court and High Court judgments cited in Chapter 11. Chapter 20 lists every source so you can check any claim yourself before you quote it to an employer.

CHAPTER 1

What actually changed in 2025

The four Labour Codes are in force. Here is the only part of them that matters on the day you resign.

On 21 November 2025 the Central Government brought the four Labour Codes into force across India: the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020, and the Occupational Safety, Health and Working Conditions Code, 2020. Between them they replaced 29 central labour laws, including the Payment of Wages Act, 1936, the Industrial Disputes Act, 1947 and the Payment of Gratuity Act, 1972.

For anyone resigning, one sentence in the Code on Wages is the whole story. Section 17(2) says that where an employee has resigned, been retrenched, dismissed or become unemployed because the establishment closed, the wages payable to them must be paid within two working days.

What you were entitled to before	What applies now
Two working days applied mainly to workers terminated by the employer, and only to those earning within a wage ceiling	Two working days applies to resignation as well, and to every employee, with no wage ceiling
A 45 to 60 day full and final settlement was normal practice, not a legal breach	A 45 to 60 day settlement is now a delay against a statutory deadline
No single definition of wages across labour laws	One definition across all four Codes, with a 50% allowance rule that raises gratuity and PF bases
Gratuity only under the Payment of Gratuity Act, 1972	Gratuity sits in the Code on Social Security, with the same 15/26 formula and the same Rs 20 lakh ceiling

Sources: Code on Wages, 2019, s.17; PIB factsheet, 3 December 2025; Gazette notification S.O. 5322(E), 21 November 2025.

The 50% rule quietly raises your gratuity

The Codes define wages as basic pay plus dearness allowance plus retaining allowance, if any. If your allowances (other than gratuity and retrenchment compensation) together exceed 50% of your total remuneration, the excess is added back and treated as wages for statutory calculations. Leave encashment is not wages. Neither are ESOPs, variable pay or reimbursements.

This matters on the day you leave because gratuity is calculated on wages. A salary structure of Rs 20,000 basic and Rs 56,000 in allowances is not a Rs 20,000 base for gratuity. Fifty per cent of Rs 76,000 is Rs 38,000, which is above basic plus DA, so the statutory wage becomes Rs 38,000. That is a 90% jump in the gratuity base, and the Labour Ministry's own worked illustration uses exactly this arithmetic.

Why HR may not know this yet

The Codes came into force without the state-level rules that normally accompany such a change. The Labour Ministry's position is that old rules continue during the transition to the extent they do not conflict with the Codes. In practice this means your HR team may still be running gratuity on basic pay, and the two-day settlement rule may not be in any internal policy. That is not your problem to solve, but it is your argument to make, politely, in writing, once.

What did not change

Three things stayed exactly as they were, and they still decide most exit disputes. Your notice period is whatever your appointment letter says; no statute sets 30, 60 or 90 days for a private-sector manager. Your bond is enforceable only to the extent it is a reasonable pre-estimate of real loss. And your employer can deduct tax, PF and authorised recoveries, but total deductions in a wage period cannot exceed 50% of your wages.

CHAPTER 2

The pre-exit audit

Nine things to check before you send the letter, because six of them cannot be fixed afterwards.

The single most expensive mistake in an Indian exit is resigning before reading your own contract. Everything below is in a document you already have. An hour with your appointment letter and your last three payslips will save you more money than any negotiation later.

1. The notice clause, read twice

Find the exact words on notice. You are looking for four things: the length, whether the employer can waive it, whether you can pay salary in lieu, and whether leave can be adjusted against it. A clause that says "three months' notice or salary in lieu thereof" gives you a choice. A clause that says "three months' notice" and nothing else does not, though many employers accept a buyout anyway as a matter of practice.

2. The bond or minimum service period

Search the letter and any separate bond for "minimum service", "training cost", "liquidated damages" or a rupee figure. Note the amount, the period it covers, and whether it reduces with time served. Chapter 11 explains what is enforceable; for now, just know whether you have one.

3. ESOPs, RSUs and joining bonus clawbacks

Unvested ESOPs are almost always forfeited on resignation; vested ones are usually yours but the exercise window is short and it is measured in weeks. A joining or relocation bonus with a clawback is a real debt: if you leave before the stated date, expect a recovery in your full and final settlement. Read the vesting schedule and the clawback clause now, while you can still choose your last working day.

4. Your leave balance, in days and in rupees

Download your leave statement from the HR portal today and save the PDF. Leave encashment is one of the largest line items in a settlement and one of the easiest for an employer to miscalculate. Also check whether your policy caps encashment at resignation, or only pays it on retirement. Many do cap it, and that is legal if the policy says so.

5. The gratuity clock

Write down your date of joining. If you are within four to six months of the five-year mark, the timing of your resignation is worth real money: gratuity on a Rs 40,000 wage base is about Rs 23,000 per year of service. Chapter 7 shows how to count it properly, including the 240-day rule that catches people out in both directions.

6. Loans, advances and company assets

An outstanding salary advance, a personal loan routed through payroll, a company laptop, a SIM, a corporate card, an access card. Every one of these becomes a deduction or a hold on your settlement. Return them and get a written acknowledgement on the day you hand them over. A signed handover sheet is the cheapest insurance in this whole process.

7. The new offer, in writing

Do not resign on a verbal offer or a WhatsApp message. Confirm four things in the new offer letter: the joining date, that the offer is unconditional, the notice period you will be on there, and whether they will wait if your current employer stretches your release. Get the joining date pushed back by at least two weeks beyond your expected last working day.

8. The documents you will need to prove your exit

Your last three payslips, the appointment letter, the latest increment letter, your leave statement, your PF passbook, and any appraisal emails. Save them to a personal email account or drive before your laptop access is revoked. Chapter 13 is the full vault list.

9. The one person who can actually help

Identify your HR business partner and your reporting manager by name, and put everything in email from now on. In a dispute, the person who has a written record wins the argument, not the person who is right. If your company has a Grievance Redressal Committee, note who sits on it: under the Industrial Relations Code every establishment with 20 or more workers must have one, and it must decide a grievance within 30 days.

CHAPTER 3

The resignation letter

Short, dated, unambiguous, and sent in a way you can prove.

Indian law does not prescribe a form for resignation. What it does care about is that your intention to leave is clear, dated, and communicated. Everything else is contract and courtesy. The letter's real job is to start a clock: your notice period begins from a date that a third party can verify.

What the letter must contain

- The date you are writing it, and the date you intend to be your last working day.
- A clear statement of resignation. Not "I am exploring options" and not "I wish to discuss".
- The clause you are resigning under, quoted in a phrase: "in accordance with Clause 8 of my appointment letter, I am serving 60 days' notice".
- A request for the full and final settlement, relieving letter and experience letter, by name.
- Your personal email and phone number, because your work accounts will be disabled.

What it must not contain

No grievances, no complaints about your manager, no list of things that were wrong with the company, no hint that you were pushed. Anything you write about the employer can end up in a background verification or a dispute file. If you have a genuine grievance, it belongs in a separate, later communication to HR, or in a Grievance Redressal Committee application. Mixing the two weakens both.

Send it so that it counts

1. Email it from your work ID to your reporting manager and HR, with a copy to your personal email address. The copy is the one you will still have in six months.
2. Also upload it to the HR portal or HRMS resignation workflow if one exists, and take a screenshot of the acknowledgement.
3. If you hand over a printed letter, get a receiving stamp or a signature on your copy. An unstamped letter is a letter the company can later say it never received.
4. If you are on a probationary or trainee contract with a shorter notice, quote that clause. Do not assume the longer period applies to you.

Does the company have to accept your resignation?

No. Resignation is a unilateral act once it is communicated, and courts have consistently treated it as effective on the expiry of the notice period unless the employer waives the notice earlier. An employer cannot keep you employed by refusing to accept. What it can do is hold you to the notice period or recover salary in lieu, if your contract provides for that. The practical risk is not refusal; it is silence, which is why every letter asks for a written acknowledgement of the last working day.

If you are on probation

Probation clauses usually carry a shorter notice period, often 15 or 30 days, and sometimes no notice at all. Check whether your probation has been confirmed in writing. If it was extended without a written order, you have an argument that the original terms still apply, which is worth raising in writing before you resign rather than after.

CHAPTER 4

Notice period: serve it, shorten it, or buy it out

Three legitimate routes, what each costs, and the exact words to use.

The notice period is where most exits get expensive, and almost always unnecessarily. There are only three ways through it, and each has a different price.

Route 1: serve it

Cleanest, and the only route with no money at risk. You work the full period, hand over properly, and leave with a relieving letter that says nothing awkward. If your new employer can wait, this is the route to take, and it is worth asking them to wait rather than paying to leave early.

Route 2: shorten it by agreement

Most companies will release you early if the work is handed over and the manager signs off. It costs the company nothing and saves it a disengaged employee. Ask for a specific date, not "as early as possible". The template in Chapter 19 asks for a written confirmation of the revised last working day, which is the part people forget and then get caught on.

Route 3: pay salary in lieu

A buyout is contractual, not statutory. It exists only if your appointment letter provides for it, or if HR agrees to it. Where it exists, the recovery is normally calculated on basic salary, or on basic plus DA, or on gross, and the difference between those three can be 40% of the amount. Ask HR, in writing, for the calculation before you agree to a date.

What is recovered	Typical basis	What to ask for
Notice pay for the unserved days	Basic + DA, or gross, per your policy	The written calculation, with the per-day figure shown
Leave adjusted against notice	Earned leave set off against notice days	Confirmation that encashment is then calculated on the remaining balance
Recovery from full and final settlement	Deducted from your final payout	A line-by-line settlement statement, not a single net figure

Deductions in any wage period cannot exceed 50% of your wages under s.18(3) of the Code on Wages, 2019.

The negotiation that actually works

Do not argue about the notice period. Argue about the handover. A manager releases a person who has documented every pending item, trained a named colleague, and left a written status note. The same manager digs in when the person says "I have an offer, I need to go". So make the release easy to approve: send a one-page handover plan with dates, name your replacement, and propose the earlier date in the same email. Most releases are approved in that email.

When they refuse to name a last working day

This is the most common form of exit harassment and the least discussed. The company does not say no; it just never confirms a date, and your notice period never formally ends. Fix it in writing within seven days: state the date your notice began, state the date it expires under your contract, and state that you will treat that as your last working day unless the company confirms a different date in writing before then. Send it by email and by registered post if the amount at stake is large. Chapter 19 has the letter.

CHAPTER 5

Counter-offers and the 45-day stall

One is a decision problem. The other is a documentation problem.

The counter-offer

If your employer counters, understand what is being offered. A raise is usually a one-time correction that would have come at the next cycle anyway. A retention bonus is normally clawed back if you leave within 12 months, which means you have bought another year of the same job. A title change costs the company nothing. Ask three questions before you decide: is the increment in writing and effective from which date, what is the clawback on the bonus, and what specifically will change about the work.

There is no rule that says you must not accept a counter-offer. There is a pattern worth knowing: people who accept one and leave anyway within 18 months usually find the relationship has changed, and the raise has been priced into their next review. If you accept, get it in writing before you withdraw your resignation, and withdraw in writing too.

The stall

The stall looks like this. You resign. HR says the notice period is 90 days, not 60. Or that your resignation must be accepted by a committee. Or that relieving letters are issued only on the last working day of the following month. None of this is illegal on its face, because none of it is regulated. It becomes a problem only when it is used to delay your money.

The counter is arithmetic and a deadline. Write one email that sets out your reading of the contract, the date your notice expires, the two-working-day settlement rule under s.17(2) of the Code on Wages, and a date by which you expect a response. Keep it factual. If the response is silence, you now have a documented breach, which is what every later escalation in Chapter 15 depends on.

> **Keep the tone boring**
> Emails written in anger get forwarded to legal. Emails written like a compliance memo get answered by HR. Never write "as per law you must pay me". Write "under section 17(2) of the Code on Wages, 2019, wages on resignation are payable within two working days; my last working day was 14 December, so I expect the settlement by 16 December".

CHAPTER 6

Your full and final settlement, line by line

Eleven components. Most settlements get three of them wrong.

The full and final settlement, or FnF, is not a favour and not a negotiation. It is an arithmetic statement of what you earned, what you are owed, and what the company may lawfully deduct. Ask for it as a statement with each line shown. A single net figure is the most common way money disappears.

Line	What it is	Where disputes happen
Salary for days worked	Pay for the days in the final month up to your last working day	Calculated on 30 days instead of actual days in the month
Leave encashment	Earned leave balance paid out, per policy	Policy caps encashment at resignation, or balance is understated
Gratuity	15/26 of last drawn wages per year, if you have five years	Employer counts basic only, not the Code's wage definition
Statutory bonus	8.33% minimum, if your wages fall within the eligibility ceiling	Simply omitted
Incentive or commission earned	Accrued variable pay for the period worked	"Payable only to active employees" clauses
Reimbursements	Pending bills, travel, internet, telephone	Lost because bills were not submitted before exit
Notice pay recovery	Salary in lieu of unserved notice	Recovered on gross when the policy says basic
Loan or advance recovery	Outstanding salary advance or payroll loan	Recovered in one go beyond the 50% cap
Asset recovery	Laptop, phone, card, access devices not returned	Charged at replacement cost, not book value
Tax deducted	TDS on salary and on any taxable component	Gratuity taxed even though it is exempt up to Rs 20 lakh
Other deductions	Canteen, transport, union subscription, welfare fund	Deductions that are not authorised under s.18 of the Code

Component list compiled from s.17 and s.18 of the Code on Wages, 2019, and s.4 of the Payment of Gratuity Act, 1972.

A worked example

Assume a last drawn basic plus DA of Rs 40,000 a month, 4 years 7 months of service, 24 days of earned leave, a 60-day notice clause, 30 days served, and a policy that recovers notice on basic plus DA. The numbers below are arithmetic, not a promise: your own figures will differ, but the shape of the statement should look exactly like this.

Component	Working	Amount (Rs)
Salary for 14 days worked	40,000 x 14 / 30	18,667
Leave encashment, 24 days	40,000 / 30 x 24	32,000
Gratuity, 5 years	40,000 / 26 x 15 x 5	1,15,385

Component	Working	Amount (Rs)
Notice recovery, 30 days	40,000 x 30 / 30	-40,000
Net settlement	Sum of the above	1,26,052

Gratuity is exempt from tax up to Rs 20 lakh, so no TDS applies on that line in this example.

Three things to notice. Gratuity is 91% of the net amount you actually receive, which is why Chapter 7 matters more than the rest of this chapter. The leave encashment was calculated on 30 days rather than 26, which is the more common convention for leave but not for gratuity. And the notice recovery was on basic plus DA, not gross; if your policy is silent, that is the basis to argue for, because gross includes allowances you never received for those days.

When the settlement arrives short

Compare it to your own calculation before you sign anything. Most FnF statements carry a line saying the employee accepts the amount in full and final settlement of all claims. Signing that is not automatically fatal, because a settlement that underpayments statutory dues is not binding to that extent, but it makes the argument harder. Write back with the specific line and the specific correction you want, and ask for a revised statement. Do it once, in one email, with your working shown.

CHAPTER 7

Gratuity: the five-year question, answered properly

Who gets it, how it is calculated, when it is lost, and what to do when it is late.

Gratuity is the largest single payment most salaried Indians receive when they resign, and the one they understand least. It is a statutory right, not a discretionary benefit. Under the Payment of Gratuity Act, 1972, and now under the Code on Social Security, 2020, it is payable on termination of employment after five years of continuous service, on superannuation, retirement, resignation, or death or disablement.

Who is covered

The Payment of Gratuity Act applies to factories, mines, oilfields, plantations, ports, railway companies, and to shops and establishments with ten or more employees. Once covered, an establishment stays covered even if headcount later falls below ten. Gratuity now sits in the Code on Social Security, 2020, which has been in force since 21 November 2025; the formula and the ceiling did not change.

The formula

Fifteen days' wages for every completed year of service, plus fifteen days for any part of a year beyond six months. For a monthly-rated employee the daily wage is the monthly wage divided by 26, so the working is:

Gratuity = (last drawn monthly wages / 26) x 15 x years of service

Years of service counts each completed year, and a part-year of more than six months counts as a full year. The ceiling on the amount payable is Rs 20 lakh, raised from Rs 10 lakh with effect from 29 March 2018.

The 240-day rule, which cuts both ways

Section 2A of the Act says an employee is deemed to be in continuous service for a year if, in the twelve months before the relevant date, they actually worked for at least 240 days (190 in a mine or an establishment working fewer than six days a week). Days of lay-off, leave with full wages, absence due to employment injury, and maternity leave all count as days worked.

Two consequences follow, and people get caught by both. First, if you have four years of service and have worked 240 days into your fifth year, you are generally treated as having five years for eligibility, even though the calendar says four years and eight months. Second, if you have five calendar years but a long stretch of unpaid absence in one of them pushed you below 240 days in that year, an employer may argue one year does not count. The first argument is yours to make; the second is theirs, and it is decided on your attendance record, so keep it.

When gratuity can be reduced or forfeited

Only in narrow circumstances, all of them in the statute. Gratuity may be forfeited to the extent of the damage or loss where an employee's services were terminated for an act, wilful omission or negligence that caused damage to or destruction of the employer's property. It may be wholly or partly forfeited where services were terminated for riotous or disorderly conduct or an act of violence. Nothing else. Resigning without serving notice, leaving without a handover, or joining a competitor are not grounds for forfeiture.

The clock the employer is on

Rule	What it requires
Section 7(2)	Employer must determine the amount and notify you and the controlling authority, whether or not you applied
Section 7(3)	Gratuity must be paid within 30 days of the date it becomes payable
Section 7(3A)	If it is late, simple interest is payable for the delay; the notified rate is 10% per annum
Section 7(4)	Any dispute on the amount or entitlement goes to the controlling authority, who decides after an inquiry
Section 7(7)	An appeal against the controlling authority's order lies within 60 days
Section 8	If still unpaid, the controlling authority issues a certificate to the Collector, who recovers it as arrears of land revenue, with compound interest

Payment of Gratuity Act, 1972. The 10% rate is from notification S.O. 874(E) dated 1 October 1987.

In practice, the interest claim is what moves a stuck file. A settlement that is Rs 1,15,000 and eight months late carries roughly Rs 7,700 of interest at 10% a year, and the Supreme Court has held that the employer has no discretion in the matter: once the 30 days pass without payment, interest follows unless the delay was the employee's fault and the employer obtained written permission from the controlling authority.

How to claim, step by step

1. Submit a written application to your employer in the prescribed form, with your date of joining, date of exit, last drawn wages and your calculation. Keep the acknowledgement.
2. If nothing arrives in 30 days, send a reminder that quotes s.7(3) and s.7(3A) and states the interest you are claiming, calculated to date.
3. If that fails, file an application before the controlling authority for your area. The controlling authority is usually the labour officer or the Deputy Labour Commissioner for the district.
4. Attach your appointment letter, resignation email, last payslips, bank statement showing salary credits, and your own computation.
5. If the order is in your favour and still not paid, ask the controlling authority for a recovery certificate under s.8.

Fixed-term employees

If you are on a fixed-term contract, the Codes give you gratuity on a pro-rata basis after one year of service, not five. This is new, and many HR systems do not apply it. If you are on a fixed-term contract that has just ended, ask for the pro-rata gratuity in writing and quote the Code on Social Security, 2020.

CHAPTER 8

Leave encashment and the Rs 25 lakh tax rule

How it is calculated, when it is capped, and how much of it is tax-free.

Leave encashment on resignation is taxable as salary income, with one significant relief. For a non-government employee, the exemption is the least of four amounts: the cash equivalent of earned leave actually due, ten months' average salary, the amount notified by the Central Government, which has been Rs 25 lakh since 1 April 2023, and the leave encashment actually received.

For most people resigning mid-career, the binding limit is the first one: the leave actually due. The Rs 25 lakh ceiling is not a target, it is a cap that almost nobody reaches. It was raised from Rs 3 lakh by notification S.O. 2276(E) dated 24 May 2023, effective from 1 April 2023, and it is a lifetime cumulative allowance across employers, not a per-employer one.

Two rules that change the number

- Your policy decides whether encashment is paid at all on resignation. Many policies pay it only on retirement or retrenchment. Read yours; if it is silent, ask for it, because silence is not a refusal.
- The per-day rate matters. Most policies use monthly basic divided by 26 or by 30. On a Rs 40,000 base and 24 days of leave, the difference between the two is Rs 4,923.

Leave encashment is not wages

Under the Code on Wages, 2019, leave encashment is expressly not part of wages. That means it does not raise your PF contribution base or your gratuity base. It does mean, though, that it cannot be used by an employer as an excuse to reduce the wage figure used for gratuity.

CHAPTER 9

EPF and EPS when you leave

Transfer or withdraw, the two-month rule, the 75% advance, and the tax trap.

Your provident fund is not part of your full and final settlement. It is your money, sitting in a trust, and it follows you. The only real decision is whether to transfer it or withdraw it, and the answer is almost always transfer.

Transfer if you are joining another employer

If your new employer is covered by the EPF scheme, file a transfer request in Form 13 through the member portal rather than withdrawing. Transferring keeps your service history continuous, which matters for the five-year TDS rule and for your pensionable service under the Employees' Pension Scheme. Withdrawing and re-joining resets the clock and, if you are under five years of total service, invites tax.

If you are not joining anyone

You have two options and a waiting period. A non-refundable advance of up to 75% of your balance is available after one month of continuous unemployment, under paragraph 68HH of the EPF Scheme, inserted by notification G.S.R. 1182(E) dated 6 December 2018. Full final settlement in Form 19 is available after two months of unemployment, and you certify that you are not employed in a covered establishment.

Situation	Form	When
Joining a covered establishment	Form 13	Any time after joining the new employer
Not employed, need money now	Advance, up to 75% of balance	After one month of unemployment
Not employed, closing the account	Form 19, final settlement	After two months of unemployment
Less than 10 years of pensionable service	Form 10C	With the final settlement
10 years or more, below 58 years	Scheme certificate	Issued to preserve pension service
Retiring, or eligible for pension	Form 10D	At the point pension becomes payable

EPFO scheme instructions and FAQ, October 2026.

You do not need your employer's signature any more

Form 19, Form 10C and Form 31 can be filed without employer attestation, provided your UAN is active and your bank account and Aadhaar KYC have been approved by the employer using their digital signature. If your KYC was never approved, do that before your last working day, because getting an employer who no longer employs you to approve KYC afterwards is exactly the kind of problem this playbook exists to prevent.

The tax trap on early withdrawal

If you withdraw your PF with less than five years of total service, and the amount is Rs 50,000 or more, tax is deducted at source at 10% when you have submitted your PAN. Without a PAN, TDS is at the maximum marginal rate, which EPFO's own instructions put at 34.608%. Service with the previous employer and the present one is added together to work out the five years, so a transfer protects you and a withdrawal can cost you.

You can avoid the deduction by filing Form 15G, or Form 15H if you are 60 or older, with the claim, if your total income is below the taxable limit. There is no TDS at all on a transfer, or where service was terminated by the employer for reasons beyond your control.

When EPFO does not settle

Claims are expected to be settled within about 20 days. If yours is not, lodge a grievance on EPFiGMS with your UAN, and note that every regional office holds a grievance hearing on the 10th of each month, which you can attend. That is a faster route than most people realise.

CHAPTER 10

Relieving letter, experience letter, service certificate

What is actually your right, what is only a custom, and what to do when it is withheld.

Three documents get confused with each other, and the confusion is expensive because only one of them is a clear statutory entitlement.

Document	What it says	Is it a legal right?
Relieving letter	The company has accepted your resignation and you are relieved from a stated date	Not a standalone statutory right; usually contractual or policy
Experience letter	Your designation and dates of employment, sometimes with a performance line	Not statutory in most states; contractual or policy
Service certificate	Nature of work, designation and period of employment	Yes, for workers, under the Model Standing Orders

Model Standing Orders, 2020 (service sector), paragraph 15(2)(ii) and paragraph 24.

The Model Standing Orders for the service sector, framed under the Industrial Relations Code, say that every worker is entitled to a service certificate specifying the nature of work, designation and period of employment at the time of discharge, termination, retirement or resignation. They also require that wages earned and other dues be paid before the expiry of the second working day from the date employment is terminated.

So why do companies withhold relieving letters?

Leverage. A relieving letter is the practical proof a new employer asks for, so withholding it is used to extract a handover, a bond payment or a notice buyout. Courts have pushed back when the withholding has no legal basis. In one Delhi High Court case, a bank refused to relieve an officer who resigned until he paid a Rs 2 lakh bond amount; the court held the bond could not be enforced because no training expense had been incurred, ordered him relieved on payment of the notice pay he genuinely owed, and set aside the bond claim.

That is the shape of the correct position: an employer may recover what the contract genuinely entitles it to, and may deduct it from your settlement, but it cannot hold your documents hostage for an amount you do not owe.

The three-step escalation

1. Write once, listing the documents you need by name and date, and quoting the clause or policy that entitles you to them. Give seven days.
2. If that fails, send a formal notice stating that you will raise the matter with the labour authorities and that you hold the company responsible for any loss caused by the delay. Keep it factual, and copy your personal email.
3. If it still fails, approach the office of the Labour Commissioner for your state, or the Shops and Establishments authority, with your resignation email, the acknowledgement, and your written requests.

A practical substitute

If you cannot get a relieving letter in time, most background verification teams will accept a resignation acceptance email, the last payslip, the FnF statement and the PF exit date as evidence that you left cleanly. Tell your new employer early, in writing, what is happening and why. Recruiters handle this every week; what they do not handle well is finding out on joining day.

CHAPTER 11

Bonds and liquidated damages

When a bond is enforceable, when it is not, and how to answer a recovery notice.

An employment bond is not automatically valid and not automatically void. Indian courts apply two tests, and both of them turn on the facts of your particular bond rather than on the wording alone.

Test one: is it a restraint of trade?

Section 27 of the Indian Contract Act, 1872 makes any agreement that restrains a person from exercising a lawful profession, trade or business void to that extent. But the Supreme Court has drawn a line that has held for nearly sixty years: a restriction that operates during the employment is not a restraint of trade unless it is unconscionable, excessively harsh or one-sided, while a restriction that operates after the employment ends generally is.

In May 2025 the Supreme Court applied that line to a minimum-service bond. A bank officer's appointment letter required three years of service and Rs 2 lakh in liquidated damages for leaving early. The Court held the clause did not restrain trade, because its object was to secure a minimum tenure rather than to stop him working elsewhere, and upheld the amount on the facts: open recruitment, a public sector employer, a senior package. It also cautioned that the decision should not be read as a rule for every bond, and that the principles must be applied case by case.

Test two: is the amount a genuine pre-estimate or a penalty?

This is where most bonds fail. Section 74 of the Contract Act entitles an employer to reasonable compensation not exceeding the amount named in the contract, whether or not actual loss is proved. The Supreme Court has read that to mean that where damages are capable of being proved, they must be; a named sum is a ceiling, not an entitlement. Courts look at what the employer actually spent on you, how much of the bond period you served, and whether the amount steps down over time.

Two Delhi High Court decisions show the pattern. In one, a company claimed Rs 4 lakh under two five-year bonds signed before foreign trips that it called training; the court found no structured training had been provided, held the amounts penal rather than a pre-estimate, and dismissed the claim. In another, a bank withheld an officer's relieving letter for a Rs 2 lakh bond; the court found the bond could not be enforced because no training expense had been incurred, but upheld the recovery of three months' salary in lieu of notice, which the contract genuinely required.

What the bond says	How courts usually treat it
Minimum service period with a fixed sum on early exit	Enforceable if the sum is proportionate to real recruitment or training cost
Training cost recovery that reduces month by month	Generally enforceable, because it tracks actual expenditure
A large lump sum with no training and no cost shown	Usually treated as a penalty and cut down or refused
A clause stopping you joining a competitor after you leave	Generally void under s.27, subject to protection of genuine trade secrets
Forfeiture of earned salary instead of a claim	Not permitted; wages are payable and the employer must sue for its loss

Based on s.27 and s.74 of the Indian Contract Act, 1872, and the judgments discussed above.

If you receive a recovery notice

1. Do not ignore it, and do not pay it in a panic. A notice is a claim, not a judgment.
2. Reply in writing within the time given, point by point: your joining and leaving dates, the training you actually received, any amount already adjusted from your settlement, and why the sum claimed is not a reasonable pre-estimate of loss.
3. Ask for the documents behind the claim: the training invoices, the bond, the calculation, and the clause relied on.
4. Offer what you genuinely owe, which is usually the unserved notice pay, and say so explicitly. Offering the correct amount removes the employer's best argument that you are refusing everything.
5. If a suit or an arbitration notice follows, take a lawyer's help immediately. Court fees, timelines and the arbitration clause all matter, and the amounts involved usually justify one consultation.

The one thing never to do

Never let an employer keep your original certificates as security. It happens, mostly in smaller firms and in some training bonds. Originals are your property; a photocopy set with a written acknowledgement is enough for any legitimate purpose, and if originals have already been taken, ask for them back in writing and escalate to the labour authorities if they are not returned.

CHAPTER 12

Non-compete, confidentiality and moonlighting

What actually survives the day you leave.

Three different obligations get bundled into one scary paragraph in most appointment letters. They have three different legal lives.

Non-compete after you leave: generally unenforceable

A clause that stops you from joining a competitor, or starting a similar business, after your employment ends is void under s.27 of the Contract Act. The Supreme Court has held this repeatedly, including in Superintendence Company of India v. Krishan Murgai and, on a celebrity endorsement contract, in Percept D'Mark v. Zaheer Khan. Indian law does not permit a post-employment non-compete to be enforced by injunction.

What does survive is narrower and more real: confidential information, trade secrets, customer data and, depending on the wording and the facts, clauses against poaching your former colleagues or soliciting your former clients. Courts will protect a genuine trade secret. They will not protect a market.

During the notice period, the rules are different

A negative covenant that operates while you are still employed, including while you serve notice, can be enforced by injunction, because during that period you are contractually bound to serve exclusively. Courts will not force you to keep working, but they can restrain you from working for someone else at the same time. This is the legal reason employers insist you do not join the new company before your relieving date.

Moonlighting

Working a second job while employed is not a criminal offence and no statute prohibits it, but it is almost always a breach of your employment contract, and it is usually a listed ground for misconduct. Two practical consequences follow. Your PF can be contributed by only one employer at a time, so a second formal employment creates a contribution conflict. And if you are found out, the employer's remedy is disciplinary, not criminal, which means the risk is your job rather than a fine.

Confidentiality, in plain terms

Do not take client lists, pricing sheets, source code, internal decks, or anything you would not want read out in a courtroom. The practical test is simple: if you would be uncomfortable explaining how you got the file, do not take it. Confidentiality obligations typically survive resignation indefinitely for trade secrets, and for a defined period for other information.

CHAPTER 13

The document vault

Collect these before your laptop stops working, not after.

Access disappears on the last working day, often earlier. Every document below should be in a personal email account or a personal drive before you resign, and certainly before your final week. This is not disloyalty; it is the paperwork you will need for your next three jobs.

Document	Why you will need it
Appointment letter and all amendments	Proves notice period, bond, wage structure and grade
Last three payslips	Proves last drawn wages for gratuity and FnF
Increment and promotion letters	Establishes your wage history if gratuity is disputed
Leave statement	The only independent record of your encashment claim
Form 16 for each financial year	Tax filing, and proof of salary in background checks
PF passbook and UAN	Transfer or withdrawal, and service continuity
Resignation email and its acknowledgement	Starts your notice clock and proves the date
Full and final settlement statement	Your record of what was paid and what was deducted
Relieving and experience letters	The documents the next employer asks for
Handover acknowledgement	Defends you against an asset or negligence claim
Appraisal emails and any bonus letter	Supports an incentive or variable pay claim

Save as PDF, not as screenshots. A PDF opens in an email thread; a screenshot gets questioned.

One more item people forget: the names, designations and personal contact details of two colleagues and one manager who will vouch for you. Background verification firms call them, and a former colleague who has moved on is harder for a hostile employer to influence.

CHAPTER 14

Background verification

What the new employer checks, and how to pre-empt the two questions that sink offers.

Background verification in India is routine for anything above entry level, and it is conducted by third-party firms against a consent you sign. Most checks are administrative. Two are not, and both concern your exit.

Check one: dates of employment

The verifier asks your previous employer to confirm designation and joining and exit dates. A mismatch of even a month is the most common cause of a withheld offer, and it is almost always caused by the employer's own records rather than by anything you did. Fix it now: if your relieving letter shows a different last working day from the one you have been quoting, get the letter corrected before you join the new company, not after.

Check two: reason for leaving and eligibility for rehire

Some employers disclose it, some will only confirm dates. If your exit was contested, say so to the new employer before the verification starts, in one calm paragraph: what happened, what you did, and what documents you have. Recruiters are far more forgiving of a disclosed dispute than of a discovered one.

What a verifier should not be given

You are entitled to know what you are consenting to. If a consent form authorises a credit check or a criminal record search that has nothing to do with the role, ask why. And remember that a verification report is not a public document; a former employer disclosing your salary or appraisal details to a third party without your consent is a different problem, and a data protection one.

CHAPTER 15

When they do not pay

A five-rung ladder, from one polite email to a recovery certificate.

Most delayed settlements are resolved at rung one or two. The mistake people make is jumping to rung five in frustration, or never climbing past rung zero, which is silence. Work up in order, and keep every document.

Rung 1: the reminder with the section in it

One email, to HR and your manager, with your last working day, the amount due, your working, and a date. Quote s.17(2) of the Code on Wages, 2019 for wages and s.7(3) of the Payment of Gratuity Act for gratuity. Attach the settlement statement if you have one. This resolves a surprising share of cases, because it shows the file has moved from a queue to a person who is now accountable.

Rung 2: the Grievance Redressal Committee

Under the Industrial Relations Code, 2020, every industrial establishment with 20 or more workers must constitute a Grievance Redressal Committee. A worker can apply within one year of the cause of action, and the committee must complete its proceedings within 30 days. It is an internal forum, so it is not independent, but a written application creates a dated record that later authorities will ask about.

Rung 3: the Inspector-cum-Facilitator

The Code on Wages replaced the old inspector raj with an Inspector-cum-Facilitator whose job includes guidance and compliance support as well as inspection. A written complaint to the office of the Labour Commissioner for your state, or to the Chief Inspector of Shops and Establishments for your area, asking for facilitation of your unpaid dues, is a legitimate and usually effective step. Attach your documents; do not send a narrative.

Rung 4: a claim before the authority

Chapter VI of the Code on Wages sets out a claims mechanism: an employee with a claim under the Code applies to the prescribed authority, which decides after hearing both sides, with an appeal to the appropriate government or the authority specified. For gratuity, the route is s.7(4) of the Payment of Gratuity Act before the controlling authority, which is usually the labour officer or Deputy Labour Commissioner for the district. Both are designed for employees without lawyers, and both are far cheaper than a civil suit.

Rung 5: recovery

For gratuity, s.8 lets the controlling authority issue a certificate to the Collector, who recovers the amount with compound interest as arrears of land revenue. For wages, a civil suit for money is available, with a three-year limitation under the Limitation Act, 1963, and the option of a summary suit where the claim is on a written acknowledgment. A civil suit is slow; it is worth it when the amount is large or when the employer is clearly solvent and simply refusing.

What is owed	First forum	Second forum
Salary and settlement wages	Labour Commissioner or Inspector-cum-Facilitator	Claims authority under Code on Wages, then civil suit
Gratuity	Employer, then controlling authority	Recovery certificate to Collector under s.8
Provident fund	EPFiGMS grievance	Regional PF Commissioner, then the 10th-of-month hearing
Relieving or service certificate	Employer, in writing	Labour Commissioner or Shops and Establishments authority
Bond amount claimed against you	Written reply disputing the sum	Civil court or arbitration, if a notice follows

Move early. A documented timeline is worth more than a strong argument made late.

CHAPTER 16

When you are pushed out instead of leaving

Retrenchment, termination, layoff and the resignation you were talked into.

Not every exit is voluntary, and the difference is worth money. Retrenchment carries statutory compensation. Resignation carries none. So the single most important thing in this chapter is the document you sign under pressure.

Retrenchment

Retrenchment is termination by the employer for any reason other than punishment, voluntary retirement, superannuation, non-renewal of a fixed-term contract or continued ill-health. Under the Industrial Relations Code, 2020, the employer must give one month's prior notice where the establishment employs fewer than 300 workers, and three months' notice where it employs 300 or more, in the latter case with prior government permission. Compensation is 15 days' average pay for every completed year of continuous service, plus a contribution of 15 days' wages per retrenched worker to the Worker Re-Skilling Fund.

Layoff and closure

During a lawful layoff, the employer must pay 50% of basic wages plus dearness allowance for the period. On closure, notice to the government is 60 days for smaller establishments and 90 days for those with 300 or more workers, and workers with at least one year of continuous service are entitled to notice and compensation.

"Resign, or we will terminate you"

This is a common pressure tactic and it usually works, because the resignation is signed within the hour. Understand what you are giving up: retrenchment compensation of 15 days per year, and sometimes the characterisation of the exit in your records. Understand what you gain: speed, and no termination on your record.

Whatever you decide, do three things. Ask for the reason for the decision in writing. Ask for the calculation of any compensation being offered, line by line. And do not sign a resignation on the same day; ask for 48 hours to consider, in writing. A resignation obtained by coercion can be challenged, but proving coercion months later is very hard, and a 48-hour pause is free.

Termination for cause

If you are terminated for alleged misconduct, you are entitled to a domestic inquiry that follows the standing orders or the certified service rules, with notice of the charges and an opportunity to respond. A termination without any inquiry, where the rules require one, is vulnerable. If this is happening to you, do not resign, do not sign anything, and speak to a labour lawyer the same week. This is the one situation in this playbook where waiting for advice is worth more than acting.

CHAPTER 17

Edge cases worth knowing

Six situations the standard advice does not cover.

You want to withdraw your resignation	You can, if the employer has not yet acted on it, and it is safest before the notice period ends. Put it in writing and get written acceptance. Once the last working day has passed and the settlement is processed, withdrawal needs the employer's consent, and there is no statutory right to it.
You stop going to work without resigning	There is no statutory concept of abandonment in Indian labour law. An employer may treat continued absence as misconduct under the standing orders and terminate after an inquiry, but it cannot simply declare you absconding and keep your earned wages. Dues for days worked, and gratuity if you have five years, remain payable. If you are in this position, resign in writing now and regularise the absence.
You are rejoining the same company later	Previous service is usually treated as broken for gratuity unless the policy or the offer letter expressly counts it. Ask for that clause in the new offer letter before you sign, because it can be worth a full year of gratuity.
Your new employer wants you to join before your relieving date	Do not do it. You would be employed by two establishments at once, which breaches your existing contract, complicates PF contributions and gives your old employer a reason to withhold your relieving letter. Ask for a joining date after your last working day instead.
Your company is being acquired or merged	On transfer of ownership or management, workers with at least one year of continuous service are entitled to notice and retrenchment compensation under the Industrial Relations Code. If you are asked to sign a fresh letter with the new entity, check whether continuity of service is expressly preserved. That single sentence is worth years of gratuity.
You resigned during probation and they are holding your salary	A short notice period during probation does not remove your right to be paid for days worked. The two-working-day rule applies to resignation generally. Send the reminder, then escalate.

CHAPTER 18

The 30-day exit plan

A dated sequence, from the audit to the last document.

Day	What you do
Day 1	Read the appointment letter: notice, bond, ESOP, clawback. Download leave statement and three payslips to a personal drive.
Day 1	Write down date of joining and count your gratuity years, including the 240-day position.
Day 2	Confirm the new offer in writing, with a joining date at least two weeks beyond your expected release.
Day 3	Send the resignation letter. Copy your personal email. Upload to HRMS and screenshot the acknowledgement.
Day 4	Ask HR in writing for the notice calculation and the expected last working day.
Day 5	Send the handover plan: pending items, named replacement, proposed dates.
Day 7	If no written last working day has come, send the confirmation-request letter from Chapter 19.
Week 2	Ask for the FnF statement format and confirm which components will be included.
Week 2	Check UAN: is your Aadhaar and bank KYC approved? If not, get it approved now.
Week 3	Complete the handover and get a signed acknowledgement of assets returned.
Last week	Collect every document in the Chapter 13 vault. Confirm the FnF payment date in writing.
Last day	Send a short thank-you email that also confirms your last working day and the documents awaited.
Day 2 after exit	If the settlement has not arrived, send the Chapter 19 reminder quoting s.17(2).
Day 30 after exit	If gratuity is unpaid, file the s.7(4) application. If wages are unpaid, escalate to rung 3.

The dates are relative to your resignation, not the calendar. Shift them to your notice period.

CHAPTER 19

Templates you can copy

Six letters. Replace the bracketed text, keep the tone, send by email.

1. Resignation letter

```
Subject: Resignation from the post of [Designation], [Employee ID]

Dear [Manager's name],

I am writing to formally resign from my position as [Designation] at [Company], in
accordance with Clause [X] of my appointment letter dated [date].

As per that clause, my notice period is [60] days. Accordingly, my last working day will be
[date], unless the company wishes to release me earlier or waive the notice period, in which
case I will confirm the revised date in writing.

I will ensure a complete handover of my responsibilities before my last working day, and I
will share a handover plan with you by [date]. I request the following on or before my last
working day: my full and final settlement statement, my relieving letter, my experience
letter, and Form 16 for the current financial year.

Please acknowledge this email and confirm my last working day in writing. For any future
correspondence, my personal email is [email] and my phone number is [number].

Thank you for the opportunity to work here.

Sincerely,
[Name], [Employee ID], [Date]
```

2. Request to confirm the last working day

```
Subject: Confirmation of last working day, resignation dated [date]

Dear [HR name],

I resigned on [date] under Clause [X] of my appointment letter, which provides for [60]
days' notice. I have received no written confirmation of my last working day.

Under that clause, my notice period expires on [date], and I will treat [date] as my last
working day unless the company confirms a different date in writing before then.

For clarity, under section 17(2) of the Code on Wages, 2019, wages payable on resignation
are to be paid within two working days of resignation. I therefore expect my full and final
settlement by [date + 2 working days], along with my relieving letter and experience letter.

Please confirm in writing at your earliest.

Regards,
[Name]
```

3. Request to buy out or shorten notice

```
Subject: Request for early release, resignation dated [date]

Dear [Manager's name],

My handover plan, shared on [date], is complete as of [date]: [list three completed items].
[Colleague] has been trained on [systems] and will own [responsibilities] from [date].

Given this, I request that my last working day be revised from [date] to [date]. I am
willing to pay salary in lieu of the [N] unserved days, calculated on [basic plus DA / as
per policy], and I would be grateful if you could confirm the calculation in writing.

If the revised date is not possible, please confirm that instead, so I can plan accordingly.

Regards,
[Name]
```

4. Reminder for full and final settlement

```
Subject: Full and final settlement not received, last working day [date]

Dear [HR name],

My last working day was [date]. As of today, [N] working days later, I have not received my
full and final settlement or my relieving letter.

Under section 17(2) of the Code on Wages, 2019, wages payable on resignation must be paid
within two working days. Under section 7(3) of the Payment of Gratuity Act, 1972, gratuity
must be paid within 30 days of the date it becomes payable, and under section 7(3A) simple
interest at 10% per annum applies to any delay.

My calculation of the amount due is enclosed. Please confirm the payment date in writing by
[date], failing which I will place the matter before the [Labour Commissioner / controlling
authority] for recovery.

I would prefer to resolve this directly.

Regards,
[Name]
```

5. Gratuity application

```
Subject: Application for payment of gratuity under the Payment of Gratuity Act, 1972

To: [Employer name and address]

1. Name: [Name]. Employee ID: [ID]. Designation: [Designation].
2. Date of joining: [date]. Date of exit: [date].
3. Continuous service: [X] years and [Y] months. I have completed continuous service of not
less than five years.
4. Last drawn wages (basic plus dearness allowance): Rs [amount] per month.
5. Gratuity payable: Rs [amount / 26 x 15 x years] = Rs [amount].
6. I request payment within 30 days as required by section 7(3), failing which interest
under section 7(3A) is payable.

Enclosures: appointment letter, resignation email, last three payslips, bank statement.

[Name], [Date], [Address], [Phone]
```

6. Reply to a bond recovery notice

```
Subject: Reply to your notice dated [date] regarding an alleged bond amount of Rs [amount]

Dear Sir or Madam,

I refer to your notice dated [date]. I deny that the amount claimed is payable, for the
following reasons.

1. I joined on [date] and my employment ended on [date], a period of [X].
2. The training relied upon consisted of [describe what actually happened]. No structured
training was provided and no expense was incurred on my account. I request copies of the
invoices relied upon.
3. Under section 74 of the Indian Contract Act, 1872, a sum named in a contract is a ceiling
on reasonable compensation, not an entitlement, and compensation capable of being proved
must be proved.
4. I acknowledge that I owe salary in lieu of [N] days of unserved notice, amounting to Rs
[amount], and I am willing to settle that amount. It may be adjusted against my dues.
5. I request the release of my relieving letter, experience letter and full and final
settlement, which are not contingent on a disputed bond.

I am willing to discuss a reasonable settlement.

[Name], [Date]
```

CHAPTER 20

Quick reference and sources

The numbers to remember, and where every one of them comes from.

Deadlines

What	Deadline	Source
Wages on resignation, dismissal or retrenchment	2 working days	Code on Wages, 2019, s.17(2)
Monthly wages in ordinary course	7th day of the succeeding month	Code on Wages, 2019, s.17(1)
Gratuity payment	30 days from the date payable	Payment of Gratuity Act, 1972, s.7(3)
Interest on delayed gratuity	10% per annum simple interest	Notification S.O. 874(E), 1 October 1987
Dispute on gratuity to controlling authority	As soon as payable; appeal within 60 days	Payment of Gratuity Act, s.7(4) and s.7(7)
Grievance Redressal Committee decision	30 days from application	Industrial Relations Code, 2020, s.4
PF final settlement	After 2 months of unemployment	EPF Scheme, Form 19 instructions
PF unemployment advance	After 1 month, up to 75%	EPF Scheme, para 68HH, G.S.R. 1182(E)

Numbers

Item	Figure
Gratuity formula	Monthly wages / 26 x 15 x years of service
Gratuity ceiling	Rs 20 lakh
Gratuity tax exemption	Up to Rs 20 lakh
Continuous service test	240 days in 12 months (190 in mines and 6-day-week establishments)
Leave encashment tax exemption	Least of four limits, capped at Rs 25 lakh
Maximum deductions in a wage period	50% of wages
Statutory bonus minimum	8.33% of wages, subject to eligibility ceiling
Retrenchment compensation	15 days' average pay per completed year
PF TDS threshold on early withdrawal	Rs 50,000 with under 5 years of service

Glossary

Continuous service Service without a break, counting leave, layoff, injury absence and maternity leave; a year counts if you worked 240 days in it.

Controlling authority	The officer appointed under the gratuity law to decide gratuity disputes, usually the labour officer or Deputy Labour Commissioner.
FnF	Full and final settlement: the closing statement of everything owed and deducted when you leave.
Form 19	The EPF claim for final settlement, filed after two months of unemployment.
Form 10C	The EPS claim for withdrawal benefit or a scheme certificate, filed with Form 19.
Form 13	The EPF transfer request, used when you join another covered establishment.
Gratuity	A statutory lump sum of 15 days' wages per year of service, payable after five years.
Liquidated damages	A sum named in a contract as payable on breach; recoverable only to the extent it is reasonable compensation.
Notice pay	Salary in lieu of the notice period you did not serve.
Relieving letter	The employer's written confirmation that you have been released from a stated date.
Scheme certificate	An EPFO document preserving your pensionable service when you leave before 58 with 10 or more years.
UAN	Universal Account Number, the 12-digit identifier for your provident fund accounts.

Sources

Every rule and figure above was checked in October 2026 against the following primary documents. Where a state rule differs, the state rule applies.

- Code on Wages, 2019 (Act 29 of 2019), as published by the Ministry of Labour and Employment, sections 2, 17, 18, 45 and 54.
- Industrial Relations Code, 2020 (Act 35 of 2020), sections 4, 28 to 37, 66 to 83, and the First Schedule.
- Code on Social Security, 2020 (Act 36 of 2020), gratuity provisions.
- Payment of Gratuity Act, 1972 (Act 39 of 1972), sections 2, 2A, 4, 7 and 8.
- Gazette of India notifications S.O. 5319(E) to S.O. 5322(E), dated 21 November 2025, bringing the four Codes into force.
- Press Information Bureau release, 21 November 2025, and the PIB factsheet on timely payment of wages, 3 December 2025.
- Ministry of Labour and Employment, FAQs on Labour Codes (January 2026) and Compliance Handbook for Employers under the Four Labour Codes.
- Model Standing Orders, 2020 (service sector), paragraphs 15 and 24.
- EPFO: Form 19 instructions, FAQ, TDS flowchart, and notification G.S.R. 1182(E) dated 6 December 2018 inserting paragraph 68HH.
- CBDT notifications S.O. 1213(E) dated 8 March 2019 (gratuity ceiling of Rs 20 lakh) and S.O. 2276(E) dated 24 May 2023 (leave encashment limit of Rs 25 lakh).

- Indian Contract Act, 1872, sections 27, 73 and 74.
- Vijaya Bank v. Prashant B. Narnaware, Supreme Court, 14 May 2025; Niranjan Shankar Golikari v. Century Spinning and Manufacturing Co., AIR 1967 SC 1098; Superintendence Company of India v. Krishan Murgai, (1981) 2 SCC 246; Percept D'Mark v. Zaheer Khan, (2006) 4 SCC 227; Kailash Nath Associates v. DDA, (2015) 4 SCC 136; Kailash Kumar v. Syndicate Bank, Delhi High Court, 2017; Sicpa India Ltd. v. Manas Pratim Deb, Delhi High Court.

One last thing

The people who leave well are not the ones who know the most law. They are the ones who put everything in writing, keep every document, and stay boringly polite while being completely clear about dates and money. Do that, and the law does the rest.